Circle Academic Resources

# Marketing and Sales Management

## Examination Practice Handbook

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# A Note to the Reader

Dear Reader,

Your examination preparation is incomplete without practice. Understanding concepts is important, but testing your knowledge helps you identify gaps, improve accuracy, and build confidence.

This Practice Handbook brings together important questions from all five courses prescribed for your BBA 1st Semester End-Term Examinations. These are questions we believe every student should attempt before entering the examination hall.

The handbook is designed to help you revise key concepts, assess your understanding, and become familiar with examination-oriented questions.

A special thank-you to our academic toppers for their valuable feedback and contributions in preparing these resources.

**Practise with purpose. Learn from your mistakes. Enter the examination with confidence.**

The Circle Practice Handbook

# MARKETING AND SALES MANAGEMENT

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# MARKETING AND SALES MANAGEMENT

*50-QUESTION PRACTICE SET*

*25 Multiple Choice Questions · 25 Multiple Selection Questions*

**INSTRUCTIONS**

**Multiple Choice Questions:** Select one correct option for each question.

**Multiple Selection Questions:** Select all correct options. A question may have more than one correct answer.

**Multiple Selection Question marking:**

1. One correct option + one wrong option selected: **No marks.**

2. Only one correct option selected, without selecting any incorrect option: **Partial marks.**

3. All correct options selected: **Full marks.**

4. Even if one incorrect option is selected: **Zero marks.**

## SECTION A · MULTIPLE CHOICE QUESTIONS

**Q01 · Multiple Choice Questions | 1 practice mark**

A manufacturer appoints independent merchants who buy goods, take ownership of stock, and resell them to retailers. These channel members are best described as:

**A.** Merchants

**B.** Facilitators

**C.** Agents

**D.** Media intermediaries

**Answer: (A)**

**Q02 · Multiple Choice Questions | 1 practice mark**

A company wants its packaged snack to be available in as many suitable outlets as possible, including convenience stores and small retailers. Which distribution approach fits this objective?

**A.** Exclusive distribution

**B.** Selective distribution

**C.** Intensive distribution

**D.** Direct-only distribution

**Answer: (C)**

**Q03 · Multiple Choice Questions | 1 practice mark**

A premium equipment brand appoints only a small number of carefully selected dealers in each region to provide specialist advice and service. This is:

**A.** Intensive distribution

**B.** Selective distribution

**C.** Exclusive distribution

**D.** Undifferentiated retailing

**Answer: (B)**

**Q04 · Multiple Choice Questions | 1 practice mark**

A brand offers trade discounts and sales support to encourage retailers to stock and recommend its product. This is primarily a:

**A.** Pull strategy

**B.** Consumer advocacy strategy

**C.** Publicity strategy

**D.** Push strategy

**Answer: (D)**

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**Q05 · Multiple Choice Questions | 1 practice mark**

A company advertises directly to consumers to create demand so shoppers ask retailers for its product. This is primarily a:

**A.** Pull strategy

**B.** Push strategy

**C.** Wholesale strategy

**D.** Exclusive channel strategy

**Answer: (A)**

**Q06 · Multiple Choice Questions | 1 practice mark**

A manufacturer and retailer disagree over pricing, territory, and promotional responsibilities. This is an example of:

**A.** Product-market fit

**B.** Channel conflict

**C.** Brand extension

**D.** Price skimming

**Answer: (B)**

**Q07 · Multiple Choice Questions | 1 practice mark**

A firm coordinates advertising, digital communication, sales promotion, and customer service so that the brand communicates a consistent meaning across touchpoints. This approach is:

**A.** Price discrimination

**B.** Personal selling

**C.** Integrated Marketing Communication

**D.** Selective distribution

**Answer: (C)**

**Q08 · Multiple Choice Questions | 1 practice mark**

In the AIDA model, which sequence is correct?

**A.** Action, Interest, Desire, Attention

**B.** Attention, Interest, Desire, Action

**C.** Awareness, Decision, Intention, Adoption

**D.** Attention, Decision, Interest, Action

**Answer: (B)**

**Q09 · Multiple Choice Questions | 1 practice mark**

A company uses television and newspaper advertising to reach a broad audience. These are generally classified as:

**A.** Below-the-line activities

**B.** Direct selling only

**C.** Personal selling

**D.** Above-the-line communication

**Answer: (D)**

**Q10 · Multiple Choice Questions | 1 practice mark**

A brand creates an in-store demonstration for a defined set of shoppers and follows up with a targeted coupon. This is most closely associated with:

**A.** Below-the-line communication

**B.** Mass-media broadcasting only

**C.** Price skimming

**D.** Channel length

**Answer: (A)**

**Q11 · Multiple Choice Questions | 1 practice mark**

A buyer judges a product's price against the amount they expected to pay based on earlier experience and available alternatives. This comparison point is called:

**A.** Cost-plus price

**B.** Reference price

**C.** Trade margin

**D.** Break-even price

**Answer: (B)**

**Q12 · Multiple Choice Questions | 1 practice mark**

A 10% increase in price causes quantity demanded to fall by 4%. Demand is:

**A.** Elastic

**B.** Unit elastic

**C.** Inelastic

**D.** Perfectly elastic

**Answer: (C)**

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**Q13 · Multiple Choice Questions | 1 practice mark**

A new entrant sets a relatively low introductory price to encourage trial and build market share quickly. This is:

**A.** Price skimming

**B.** Prestige pricing

**C.** Captive-product pricing

**D.** Penetration pricing

**Answer: (D)**

**Q14 · Multiple Choice Questions | 1 practice mark**

A technology firm launches a new product at a high initial price to capture value from early buyers, then may reduce the price later. This is:

**A.** Price skimming

**B.** Penetration pricing

**C.** Cost-plus pricing

**D.** Loss-leader pricing

**Answer: (A)**

**Q15 · Multiple Choice Questions | 1 practice mark**

A seller charges different prices to identifiable customer segments for the same or similar offering, based on segment conditions rather than cost differences alone. This is:

**A.** Product bundling

**B.** Price discrimination

**C.** Reference pricing

**D.** Trade promotion

**Answer: (B)**

**Q16 · Multiple Choice Questions | 1 practice mark**

A company defines the colours, name, logo, and tone it intends its brand to communicate. This is primarily its:

**A.** Brand image

**B.** Brand loyalty

**C.** Brand identity

**D.** Brand valuation

**Answer: (C)**

**Q17 · Multiple Choice Questions | 1 practice mark**

Consumers associate a brand with reliability and modern design, even though the company does not explicitly claim every association. These perceptions form the brand's:

**A.** Brand architecture

**B.** Brand image

**C.** Brand inventory

**D.** Brand extension

**Answer: (B)**

**Q18 · Multiple Choice Questions | 1 practice mark**

Customer-Based Brand Equity focuses on how brand knowledge influences consumer responses to the brand's marketing. Which statement best captures this idea?

**A.** Brand value is only the cost of advertising

**B.** Brand equity exists only when a firm owns many trademarks

**C.** Brand value is identical to its book value

**D.** Brand knowledge can change how consumers respond to the same marketing activity

**Answer: (D)**

**Q19 · Multiple Choice Questions | 1 practice mark**

A company owns several distinct product brands, each with its own identity, while the parent company remains less visible to consumers. This is an example of:

**A.** House of brands

**B.** Branded house

**C.** Ingredient branding

**D.** Co-branding

**Answer: (A)**

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**Q20 · Multiple Choice Questions | 1 practice mark**

A firm uses an established brand name to enter a new product category. This decision is known as:

**A.** Brand repositioning

**B.** Brand extension

**C.** Brand crisis

**D.** Brand valuation

**Answer: (B)**

**Q21 · Multiple Choice Questions | 1 practice mark**

During personal selling, a salesperson researches a prospect's background and prepares questions before the meeting. Which stage is this?

**A.** Closing

**B.** Service and follow-up

**C.** Pre-approach

**D.** Prospecting and qualifying

**Answer: (C)**

**Q22 · Multiple Choice Questions | 1 practice mark**

A prospect has a clear need and interest, but the salesperson has not checked the customer's budget, authority, need, or purchase timeline. Which framework should guide qualification?

**A.** AIDA

**B.** SPIN

**C.** ABC

**D.** BANT

**Answer: (D)**

**Q23 · Multiple Choice Questions | 1 practice mark**

A sales manager divides a large territory into geographic areas and assigns each salesperson responsibility for a defined area. This is a:

**A.** Territorial sales-force structure

**B.** Product sales-force structure

**C.** Customer-based sales-force structure

**D.** Hybrid sales-force structure

**Answer: (A)**

**Q24 · Multiple Choice Questions | 1 practice mark**

A salesperson asks what happens to a retailer's business if a stock-out continues during the peak season. In SPIN, this is a(n):

**A.** Situation question

**B.** Implication question

**C.** Problem question

**D.** Need-payoff question

**Answer: (B)**

**Q25 · Multiple Choice Questions | 1 practice mark**

A buyer is concerned about whether an electric vehicle's battery support will remain available over several years. The salesperson listens, explores the concern, and checks the buyer's priorities before recommending a suitable solution. This best illustrates:

**A.** Pressure-based closing

**B.** Transactional selling only

**C.** Customer-centred consultative selling

**D.** Undifferentiated promotion

**Answer: (C)**

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## SECTION B · MULTIPLE SELECTION QUESTIONS

**Q26 · Multiple Selection Questions | 1 practice mark**

Which activities can be performed by channel partners in a marketing channel?

**A.** Merchants may take ownership of goods and resell them

**B.** Every channel member must manufacture the product

**C.** Agents may bring buyers and sellers together without necessarily taking ownership

**D.** Facilitators may support transport, finance, logistics, or market information

**Answer: (A, C and D)**

**Q27 · Multiple Selection Questions | 1 practice mark**

Which factors can influence the design of a marketing channel?

**A.** The brand's logo colour alone determines the length and structure of every marketing channel.

**B.** Customer convenience and delivery speed

**C.** Desired market coverage and service support

**D.** The firm's control and cost requirements

**Answer: (B, C and D)**

**Q28 · Multiple Selection Questions | 1 practice mark**

Which statements about channel length and levels are correct?

**A.** A direct channel can involve the manufacturer selling to the consumer

**B.** An indirect channel may include intermediaries such as retailers or wholesalers

**C.** A longer channel automatically gives the producer more control over retail execution

**D.** Channel design should consider the roles and value added by intermediaries

**Answer: (A, B and D)**

**Q29 · Multiple Selection Questions | 1 practice mark**

Which statements correctly distinguish intensive, selective, and exclusive distribution?

**A.** All three approaches require the same number of channel members

**B.** Intensive distribution seeks broad availability through many suitable outlets

**C.** Selective distribution uses a chosen set of intermediaries

**D.** Exclusive distribution restricts distribution to a very limited number of outlets or partners

**Answer: (B, C and D)**

**Q30 · Multiple Selection Questions | 1 practice mark**

Which statements about push and pull strategies are correct?

**A.** Push activity may use trade incentives and sales support to encourage channel members

**B.** Push and pull strategies are defined only by the physical location of a warehouse

**C.** Pull activity seeks to create consumer demand so buyers request the product

**D.** A firm may combine push and pull activities

**Answer: (A, C and D)**

**Q31 · Multiple Selection Questions | 1 practice mark**

Which statements describe possible sources or effects of channel conflict?

**A.** Disagreement over pricing or territory can create conflict

**B.** Unclear roles and responsibilities may create conflict

**C.** Channel conflict is always beneficial and never needs management

**D.** Conflicting promotional or service expectations may create conflict

**Answer: (A, B and D)**

**Q32 · Multiple Selection Questions | 1 practice mark**

Which are elements or stages in the communication process described in the notes?

**A.** Sender

**B.** Encoding

**C.** Message or media

**D.** Decoding and receiver response

**Answer: (A, B, C and D)**

**Q33 · Multiple Selection Questions | 1 practice mark**

Which statements about consumer response and AIDA are correct?

**A.** Awareness means the consumer knows the brand exists

**B.** AIDA guarantees that every consumer moves through the stages in exactly the same order

**C.** Interest and desire can develop before purchase

**D.** Action represents the behavioural outcome such as purchase

**Answer: (A, C and D)**

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**Q34 · Multiple Selection Questions | 1 practice mark**

Which considerations help build a systematic marketing communication programme?

**A.** Identify the target audience
**B.** Set clear communication objectives
**C.** Select message, media, timing, and budget
**D.** Measure outcomes against the objectives

**Answer: (A, B, C and D)**

**Q35 · Multiple Selection Questions | 1 practice mark**

Which statements about ATL, BTL, and IMC are correct?

**A.** IMC means every channel must use identical wording regardless of audience or context
**B.** ATL traditionally uses broad-reach media
**C.** BTL can use targeted or more direct communication
**D.** IMC seeks a coherent meaning across communication touchpoints

**Answer: (B, C and D)**

**Q36 · Multiple Selection Questions | 1 practice mark**

Which factors can influence a consumer's perception of price?

**A.** Reference prices and prior experience
**B.** Price thresholds and how a price is framed
**C.** Payment method or instalment presentation
**D.** The product's perceived benefits and alternatives

**Answer: (A, B, C and D)**

**Q37 · Multiple Selection Questions | 1 practice mark**

Which statements about price elasticity of demand are correct?

**A.** It measures the responsiveness of quantity demanded to a price change
**B.** It is commonly calculated as percentage change in quantity demanded divided by percentage change in price
**C.** Demand is elastic when the absolute value of elasticity is greater than one
**D.** Demand is inelastic when the absolute value is less than one

**Answer: (A, B, C and D)**

**Q38 · Multiple Selection Questions | 1 practice mark**

Which are recognised pricing approaches or objectives in the notes?

**A.** Cost-based pricing
**B.** Randomly selected prices unrelated to cost, value, demand, or competition.
**C.** Target-return pricing
**D.** Value-based pricing

**Answer: (A, C and D)**

**Q39 · Multiple Selection Questions | 1 practice mark**

Which statements about price skimming and penetration pricing are correct?

**A.** Penetration pricing always produces the highest profit immediately
**B.** Skimming may begin with a relatively high price
**C.** Penetration pricing may begin with a relatively low price to encourage trial or share
**D.** Neither approach is universally best; suitability depends on market conditions

**Answer: (B, C and D)**

**Q40 · Multiple Selection Questions | 1 practice mark**

Which forms of product-mix pricing are identified in the notes?

**A.** Loss-leader pricing
**B.** Optional-product pricing
**C.** Captive-product pricing
**D.** Product-bundle pricing

**Answer: (A, B, C and D)**

**Q41 · Multiple Selection Questions | 1 practice mark**

Which issues should a firm consider before changing its prices?

**A.** Competitor responses
**B.** Customer perceptions of fairness and value
**C.** Whether the price change supports the brand and channel strategy
**D.** The possibility that repeated discounting may weaken price expectations

**Answer: (A, B, C and D)**

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**Q42 · Multiple Selection Questions | 1 practice mark**

Which statements about brand identity and brand image are correct?

**A.** Brand image is determined only by the logo's colour

**B.** Brand identity concerns the meaning and signals the organisation seeks to communicate

**C.** Brand image concerns associations held by consumers

**D.** Identity and image may differ if the intended meaning is not received as expected

**Answer: (B, C and D)**

**Q43 · Multiple Selection Questions | 1 practice mark**

Which approaches to brand valuation are discussed in the notes?

**A.** Cost approach

**B.** Market approach

**C.** Number-of-followers approach as the only recognised method

**D.** Financial approach

**Answer: (A, B and D)**

**Q44 · Multiple Selection Questions | 1 practice mark**

Which statements about brand elements are correct?

**A.** Names, logos, symbols, and characters can be brand elements

**B.** Brand elements alone guarantee a strong customer experience

**C.** Brand elements should be memorable and meaningful

**D.** They should be adaptable and protectable where possible

**Answer: (A, C and D)**

**Q45 · Multiple Selection Questions | 1 practice mark**

Which are examples of brand architecture options?

**A.** House of brands

**B.** Branded house

**C.** Sub-brand or endorsed brand

**D.** Co-branding or ingredient branding

**Answer: (A, B, C and D)**

**Q46 · Multiple Selection Questions | 1 practice mark**

Which statements about brand extension and brand crisis are correct?

**A.** Crisis communication should avoid acknowledging facts or customer impact

**B.** A brand extension uses an established brand name in a new offering or category

**C.** A poorly matched extension can confuse positioning or dilute the parent brand

**D.** A brand crisis may arise from product defects, poor service, or reputational harm

**Answer: (B, C and D)**

**Q47 · Multiple Selection Questions | 1 practice mark**

Which stages are included in the personal selling process described in the notes?

**A.** Prospecting and qualifying

**B.** Pre-approach

**C.** Presentation and interaction, including handling objections

**D.** Closing, service, and follow-up

**Answer: (A, B, C and D)**

**Q48 · Multiple Selection Questions | 1 practice mark**

Which items form the BANT qualification framework?

**A.** Budget

**B.** Authority

**C.** Need

**D.** Timeline

**Answer: (A, B, C and D)**

**Q49 · Multiple Selection Questions | 1 practice mark**

Which statements about sales-force design and management are correct?

**A.** Sales-force structures may be territorial, product-based, customer-based, or hybrid

**B.** Sales-force compensation should be unrelated to the firm's objectives and desired sales behaviour.

**C.** Workload approach can help estimate sales-force size

**D.** Recruitment, training, motivation, and evaluation are parts of sales-force management

**Answer: (A, C and D)**

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**Q50 · Multiple Selection Questions | 1 practice mark**

Which statements about consultative selling and buyer interaction are correct?

**A.** SPIN includes Situation, Problem, Implication, and Need-payoff questions

**B.** The ABC principles in the notes are Attraction, Buoyancy, and Clarity

**C.** Active listening includes observing, interpreting, clarifying, and confirming understanding

**D.** The Six Whys explore why change, why now, why this solution, why the company, why spend, and why trust or commit

**Answer: (A, B, C and D)**

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